Word up: if you're stressed about money—because you have credit card debt, or you don't have your finances under control—don't set up a Barefoot Ladder yet. Instead, the best thing you could do is borrow my other book from the library and sort yourself out first. However, I'm assuming if you're this far into this book, you have a pretty good handle on your money. So now, let me show you how to set up your Barefoot Ladder Fund.

Setting up your Barefoot Ladder Fund

It's going to be years before your teen buys a home.

Yet when the time comes it's likely going to cost a fair whack.

So if you do want to be able to give them a hand up, my advice is to start a regular savings plan now, and invest in the highest returning place possible:

The share market.

Now there are almost as many ways to invest in the share market as there are shows on Netflix:

You can open up an investing account in your own name, and sign up to a managed fund with the likes of investment giant Vanguard, or you can download an investment app like Raiz, or you can buy shares in Barefoot favourite Australian Foundation Investment Company (AFIC).

However, if you or your partner is earning over $37 000 a year (or you plan to be doing so at some stage), I'd recommend you set up your Barefoot Ladder Fund with an investment bond, which pays tax at a lower rate than you will.

Hang on, what's an investment bond?

Let's clear this up once and for all . . . you might have heard of bonds before: government bonds, war bonds, James Bond. Well, an investment bond has absolutely nothing to do with any of these.

Instead, it is simply an account where you invest money long term (10 years plus) into a managed share fund.